

REASONING BACKBONE FOR THE PROTOTYPE

Leverage Point Reasoning Framework

How to identify the places in an organizational system where a targeted intervention can create disproportionate strategic and sustainable value.

WORKING DEFINITION

A leverage point is an element, relationship, constraint, or decision within an organizational system where a targeted intervention has the potential to influence multiple connected parts of the system and materially advance strategic priorities and sustainable value creation.

The important distinction is that a leverage point is not necessarily where the pain is most visible. A complaint, delay, repetitive task, or bad KPI is a signal. The leverage point may sit upstream of it.

Example: symptom vs. leverage point

Signal	Support agents repeatedly escalate complex cases.
Visible problem	Escalation rate is too high.
Possible leverage point	Fragmented and unreliable organizational knowledge.

Improving the leverage point could influence resolution time, customer satisfaction, employee confidence, escalation rates, learning, and potentially retention. That is what makes it systemic.

1. Leverage Point Reasoning Framework

The system should only call something a high-potential leverage point when several of these conditions are present at the same time.

Lens	Question	What the system should look for
1. Strategic relevance	Why does this matter?	Direct connection to business goals, strategic priorities, growth, or important outcomes.
2. Systemic position	What else does this influence?	Dependencies, handoffs, workflows, teams, decisions, customers, and information flows.
3. Causal depth	Is this the problem or a symptom?	Recurring issues that share an upstream cause or constraint.
4. Propagation potential	If we change this, what else could improve?	Effects that spread across several outcomes rather than improving one isolated task.
5. Value potential	What value could the intervention unlock?	Short-term KPIs and ROI plus quality, decisions, innovation, customer value, capability, and sustainable growth.
6. Intervention fit	What kind of change is actually needed?	Human, AI, Human-AI, process, policy, structure, capability, or a combination.

2. Start with strategy, not AI

What is the organization trying to achieve?

- Improve customer retention
- Enter a new market
- Increase profitable growth
- Improve service quality
- Reduce risk
- Accelerate innovation
- Improve employee capability

Strategy gives the system direction. Without it, a bottleneck can look important simply because it is annoying.

3. Detect signals in the organizational system

The system looks across the organization and searches for patterns. These are signals, not yet leverage points.

System areas	Signals to detect
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People & capabilities

Workflows & processes

Knowledge & information

Critical decisions

Customer & stakeholder experience

Technology & tools

Governance & structures

Bottlenecks

Repeated failures

Delays

Excessive handoffs

Unmet needs

Knowledge gaps

Inconsistent decisions

Duplicated effort

Capability constraints

High cognitive load

Recurring customer complaints

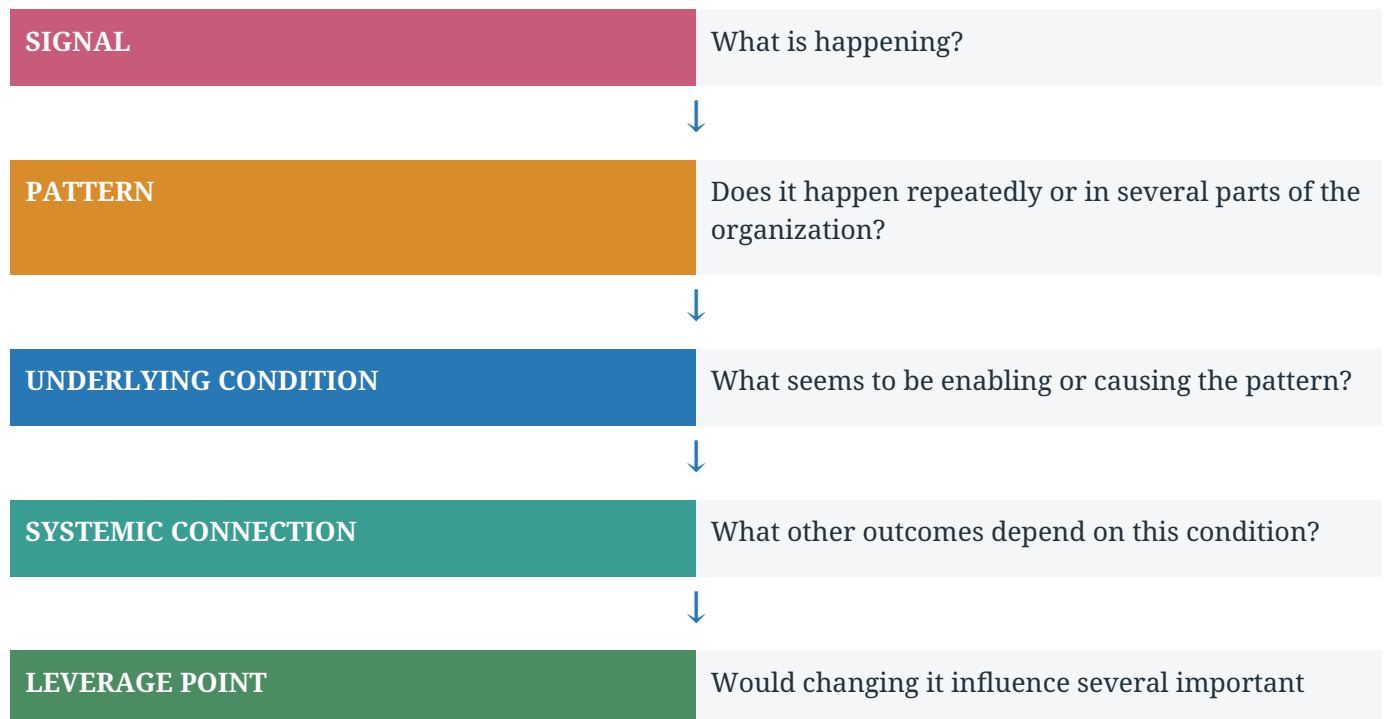
Dependencies on individual experts

Poor information flow

Conflicting incentives

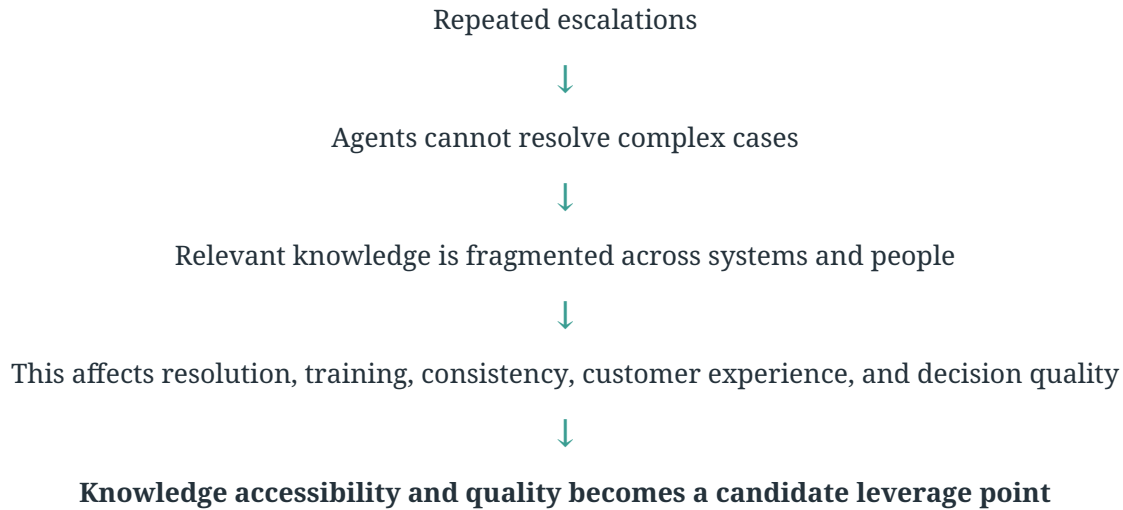
4. Move from signal to leverage point

This is the central reasoning sequence for the prototype.



outcomes connected to strategy?

Example reasoning chain



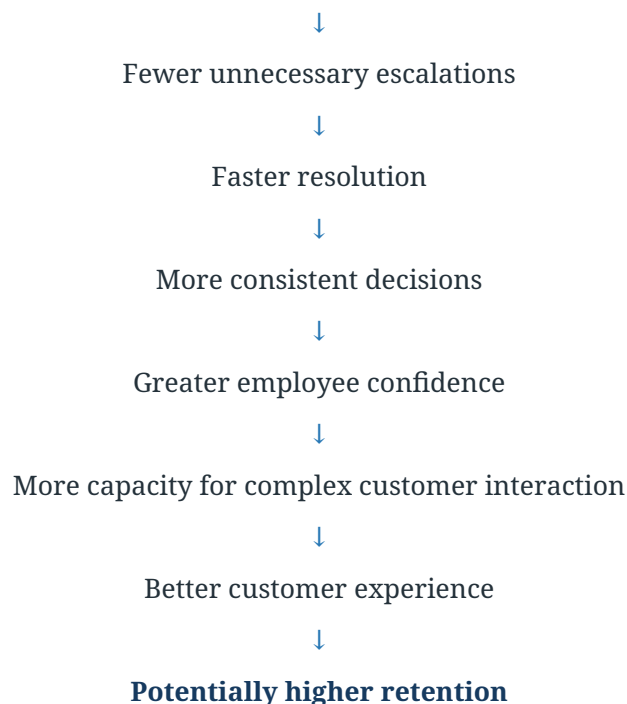
This is much more sophisticated than: “High escalation rate → automate escalation.”

5. Apply the counterfactual test

If this changed significantly, what else would change?

A strong leverage point should produce a credible cascade. The longer and more strategically relevant the cascade, the stronger the leverage potential.

Improve access to trusted organizational knowledge



Challenge the hypothesis: Could these outcomes improve even if this point did not change? If yes, it may not actually be the leverage point.

6. Evaluate value across time horizons

Value includes ROI and hard KPIs, but the framework also asks how immediate gains translate into broader organizational value and sustainable growth.

Immediate value

Efficiency & Capacity	Time, productivity, cost, operational KPIs, ROI
Quality & Risk	Accuracy, reliability, compliance, failure reduction

Broader organizational value

Decision & Judgment	Better decisions, insight, prioritization
Customer & Stakeholder Value	Experience, trust, outcomes
Innovation & Learning	New possibilities, experimentation, organizational learning
Capability & Agency	Skills, autonomy, confidence, ability to adapt

Sustainable value

Sustainable growth	How do these gains contribute to long-term, resilient value creation?
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10,000 hours released → what happens to that capacity?

If nothing changes, the value may remain mostly efficiency. If that capacity is redirected toward innovation, customer relationships, learning, new products, better decisions, or growth, the systemic value becomes much larger.

7. Only after that ask: what should intervene?

Finding a leverage point does not mean finding an AI use case. Once the leverage point is identified, the system determines what kind of intervention is actually needed.

Human-led	Judgment, empathy, creativity, negotiation, leadership, or contextual understanding dominate.
AI-led	The opportunity is primarily about pattern detection, retrieval, synthesis, prediction, generation, or scale.

Human-AI collaboration	AI augments human capability while humans retain judgment, context, and accountability.
Non-AI intervention	The root issue is better addressed through process design, governance, incentives, structure, capability building, or policy.

Very often the answer may be Human-AI collaboration plus organizational change, rather than “just AI.”

Human role comes after intervention logic

Human at the Center Whose needs and value should guide the design?	Human in Command Who retains authority and accountability?
Human in the Loop Where must humans actively participate?	Human on the Loop Where can AI act while humans monitor and intervene?

Responsible AI becomes a constraint around the entire design, not a checklist added afterward.

8. A simple leverage-point test for the prototype

Score each candidate from 1 to 5 on the following dimensions:

Dimension	Question	Score
Strategic relevance	How strongly does it affect strategic priorities?	1–5
Systemic reach	How many workflows, stakeholders, or outcomes does it influence?	1–5
Causal depth	Is it upstream of symptoms rather than merely one of them?	1–5
Value multiplier	Could changing it create several forms of value?	1–5
Interventionability	Can something realistically be done about it?	1–5
Evidence strength	How strongly does available organizational evidence support the hypothesis?	1–5

Leverage Potential = Strategic Relevance + Systemic Reach + Causal Depth + Value Multiplier + Interventionability + Evidence Strength

Do not include “AI suitability” in this score.

AI suitability comes afterward. Otherwise the system will naturally bias itself toward finding problems that AI can solve, which is exactly the trap this approach is designed to avoid.

9. Core reasoning logic

**Strategy → Signals → Patterns → Root conditions → Systemic connections →
Leverage points → Value potential → Right intervention → Human-AI design
→ Experiment**

**A leverage point is not simply where there is a problem. It is where
changing something has the potential to change the behavior or
outcomes of a wider system in a way that advances what the
organization is ultimately trying to achieve.**

This is the reasoning backbone of the prototype, not just a systems-thinking concept.